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Business Studies

Enterpreneurship

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Lesson 5– Entrepreneurship

- Given below are a few definitions that have been presented for entrepreneurship.

- "An entrepreneur is someone who perceives an opportunity and creates an organization to pursue it. The entrepreneurial process involves all the functions, activities and actions associated with perceiving opportunities and creating organizations to pursue them" **- William.D. Bygrave –**

- "An entrepreneur is the person who destroys the existing economic order by introducing new products and services, by creating new forms of organization, or by exploiting new raw materials" **-Joseph Schumpeter-**

- "Entrepreneurship is the bridge between capital and labor" **- Oxford Dictionary -**
- "Entrepreneurship is facing up to uncertainties" **- Richard Nantinut -**
- "Entrepreneurship is the ability to launch a new company and carry it on successfully"**- International labor Organization -**

- According to the above definitions, an interpretation about entrepreneurship can be built up as follows.

"Entrepreneurship is the process of extracting environmental opportunities creatively and generating innovation while bearing risks."

Or

"Entrepreneurship is the process of producing innovations by managing risks and identifying business opportunities to satisfy human needs and wants"

The importance of Entrepreneurship

- There is an enormous need for entrepreneurs who can find innovations and react to changes in the world that changes rapidly.
- There is a need for generating innovations to survive in the competitive business world.
- There is a need for entrepreneurs in every organization, since entrepreneurs are the ones who can give leadership to the changing world.
- There is a need for generating innovations to uplift living standards through satisfying human needs and wants at high level.
- The need for developing business functions in confrontation with the technology that changes day by day.
- The ability to create employment through starting new businesses.

The Relationship between Entrepreneurship and Businesses

- The process of producing innovations and managing risks to satisfy identified human needs and wants is known as entrepreneurship.
- To satisfy human needs and wants, the production of goods and services, distribution and all the other related activities in it, can be explained widely as businesses.
- Accordingly, the production of goods and services and all other related services in it are engaged by businesses as well as through entrepreneurship. But, identifying business opportunities, risk management and innovations are done by entrepreneurship when compared with businesses.
- Accordingly, all enterprises are businesses whereas all businesses are not enterprises.
- Similarly, the result of entrepreneurship is known as business.

The Benefits of Entrepreneurship

- Through entrepreneurship, individual, institutional, social and economic benefits can be gained.

❖ Individual benefits
  - Having opportunities to make use of individual abilities.
  - Being able to get higher benefits through higher commitments.
  - Creating social status and acceptance.
  - Having self-satisfaction.
  - Obtaining personal and financial gains.

❖ Institutional benefits
  - Being easy to face competition
  - Expansion of business activities.
  - Continuous development.
  - Expansion of market shares
  - Becoming the expertise in the industry.

❖ Social and economic benefits
  - Creation of new employment opportunities.
  - Arising of opportunities to consume new goods and services.
  - Developing the standard of living.
  - Using regional resources for production
  - Development of new markets
  - Creation of income opportunities.

Entrepreneurship and Economic development

- The relationship between entrepreneurship and businesses can be clarified by the following points:
    - Increase in national production as innovations are generated through entrepreneurship.
    - Increase in the level of employment through producing new employment opportunities.
    - Economic development becomes faster through producing new employment opportunities.
        - Increase in production
        - New employment opportunities
        - Increase in income level
        - increase in purchasing power
        - increase in demand for goods
        - Increase in economic development through expansion of business activities and generating of new competitive markets.
        - Increase in demand for regional resources that are being used.
        - Creating an economic development as new businesses come to existence.

Trends in Entrepreneurship

- Global Entrepreneurship
- Social Entrepreneurship
- Green Entrepreneurship
- Intra Entrepreneurship

Global Entrepreneurship

- Engaging in trade globally is meant by this. In other words, no matter wherever in the world, with the use of technology, the ability to work beyond the borders through communication with any other country or countries or places in the world.
- Distribution of goods and services successfully from one place to all over the world to supply products for fulfilling identified consumer needs and wants of each country is harvesting the yield of entrepreneurship globally.
- It is important here to know about other cultures. It is important for this to maintain good relationships with other countries and nations. Opportunities can be generated by identifying differences among nations and among cultures.

Social Entrepreneurship

- This means to engage in innovations to solve social problems with the intention of social service. Benefits such as mental satisfaction, acceptance, praise, mutual help etc... are expected through social entrepreneurs. The aim of social entrepreneurship is to make the world a better place.

Green Entrepreneurship

- This refers to the activities done with awareness of an entrepreneurial view to positively impact the natural environment with high risk for environmental and social problems or needs.

- Green entrepreneurs consider that protecting the environment is their core concept. They are very sensitive to environmental issues. They positively impact the natural environment through their business activities.

Intra Entrepreneurship

- Creative people who are in different posts in organizations make changes in products and production methods.

- Top managers motivate those people to work creatively. This kind of entrepreneurship that introduces changes in an organization and implements them within an institute is known as intra entrepreneurship.

The Steps of Entrepreneurial Process

- Discovery
- Concept development and preparing business plan.
- Resourcing
- Actualization
- Harvesting

- Entrepreneurial process can be shown in the following diagram

Discovery

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Concept development and preparing business plan

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Resourcing

↓

Actualization

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Harvesting

❖ Step 1 – Discovery

- At the first step of the entrepreneurial process, an entrepreneur generates ideas, identifies opportunities through environmental study and studies the marketplace as well.

❖ Step 2 – Concept development and preparing business plan.

- In this step a business plan is prepared. It presents a detailed program which clarifies the business idea.

❖ Step 3 – Resourcing

- In this step, the entrepreneur identifies financial, human and physical resources that are needed to start the business, and he tries to acquire them.

❖ Step 4 – Actualization

- In this step the entrepreneur carries out the operational activities and he uses resources to fulfil the aims of business.

❖ Step 5 – Harvesting

- This is the step in which the entrepreneur takes decisions regarding the future growth and development of the business.

"An Entrepreneur''

- An entrepreneur can simply be identified as one who generates innovations by extracting environmental opportunities creatively while taking risks.
- There is no accepted definition to introduce who an entrepreneur is. The following definition can be given regarding an entrepreneur.

❖ "The person who sees changes in the marketplace as opportunities for businesses is an entrepreneur. His armory is product innovation." **- Peter F. Drucker –**

The difference between an entrepreneur and a businessman can be shown as follows

Entrepreneur	Businessman
• Commences a business with his own idea or new concept.	• Commences a business with an existing idea or concept.
• The business opponent of the entrepreneur is himself.	• Has other business opponents.
• The entrepreneur prepares himself for new business opportunities.	• The businessman is always engaged in his business activities.
• Is an innovator	• Is traditionist
• Faces risks	• Engages in activities protectively
• When problems arises, faces them courageously to overcome them.	• Gets discouraged when faced with difficulties.

Entrepreneurial Characteristics

- ❖ Willingness to take risks - He likes to face risks rather than avoid risks. But facing any risk is not meant by this.
- ❖ Creativity - This refers to the ability to see, think and take actions differently
- ❖ Commitment -This refers to working with great enthusiasm until he achieves his objectives.
- ❖ Self-confidence - While an entrepreneur must face several problems, he has the belief that he can successfully overcome them.
- ❖ Self-reliant - He or She has a desire to put his own ideas into effect rather than being dependent on others' ideas.

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Entrepreneurial Skills

- ❖ Leadership skills - He or She is the leader of his business. He leads the followers formally by encouraging them to get the work done.
- ❖ Interpersonal skills - Maintains a favorable relationship with both internal and external parties.
- ❖ Communication skills - Information is a resource for him. Maintains proper co-ordination to achieve objectives.
- ❖ Basic management skills - Possesses basic management skills such as planning, organizing, leading and Controlling

Given below are the ways of developing entrepreneurial characteristics and skills.

- ❖ Self-evaluation
    - First one should identify entrepreneurial competencies specifically and then he should conduct a self-evaluation such as, to what extent those competencies are present in him? what competencies he doesn't have, and what competencies are there within him that should further be developed.
- ❖ Training
    - Participating in various training programs to develop his entrepreneurial competencies.
- ❖ Education
    - An education on entrepreneurship apart from general education.
- ❖ Profiting from experiences
    - The experience gained through working in other enterprises or by working as an entrepreneur himself

Small & Medium Scale Businesses

- Various criteria are used both nationally and internationally to define the small & medium scale industries. These criteria are based on quantitative and qualitative factors.
- The factors that can be numerically quantitative are known as **quantitative factors**.

  Examples:

    - ➢ The amount of invested capital, number of people employed, the energy that is in use, annual turnover.

- The factors that cannot be measured numerically are known as **qualitative factors**.

  Examples:

  - Types of business organizations, the technology in use, the nature of the market.

- Based on the above criteria, various definitions have been proposed both nationally and internationally.

  Examples:

  - "A small business is one that is independently owned and independently operated but not gained any authority in the field." (Small scale Business Administration" institute in the United States of America)

- In Sri Lanka too, various organizations used various criteria to define a small-scale business

	Institution		Criteria
1	Industrial Development board	1	Where the invested capital does not exceed Rs.4million.
2	Institute of Industrial Technology	2	Where the invested capital does not exceed Rs.4million.
3	Small Industries Department	3	Where the invested capital does not exceed Rs.4million.
4	Ministry of Industrial Development	4	Where the invested capital does not exceed Rs.20million
5	Department of Census & Statistics	5	Business with less than 25 employees
6	Ministry of Rural Industries Development	6	Business with less than 50 permanent employees.
7	Central Bank of Sri Lanka	7	Businesses using less than 50Kw amperes elecricity

Characteristics of Small & Medium scale businesses are given below

- Having a small market
- Invested capital being low
- A fewer number of staff being employed.
- Family labor being used most probably.
- Decision making is based solely on information available personally

- The management of the business being independent, most probably the owner is the chief manager.
- The business mainly being targeted at the local markets. (However, there are some small & medium scale businesses that supply goods to overseas markets as well)
- Compared to large scale businesses they have fewer financial bonds
- Modern technology being used

- Small & medium scale businesses contribute to the economic development of a country in various ways.

  Examples:
  - As these businesses are labor intensive more employment opportunities are available.
    - Contribution to growth of the national product.
    - Utilizing inland resources
    - Minimizing the problems of urbanization because of the regional development
    - The inequality in income distribution is being minimized.
    - The supplement of raw materials and finished goods is required for the large-scale businesses.
    - Engaging in business affairs which are not performed by large scale businesses.

- When small & medium scale businesses are begun and continued, the following factors should be considered.
    - Studying and evaluation of one's own abilities and skills
    - The market available for production and the possibility of entering that market.
    - Studying about the opening capital and working capital requirements
    - Studying of the type of business organization.
    - Type of Business organizations and existing rules and regulations.
    - Existing competition.

The reasons for the success of small & medium scale businesses

- Availability of sufficient infrastructure facilities
- Incentives such as financial and tax relief.
- Having an expanded market
- Providing various institutional and marketing facilities.
- Having a sound management
- The enthusiasm and commitment of the businessmen.

The reasons for the failure of small and medium scale businesses

- Financial problems
- Inability to face the competition in the market
- Weak points in management
- Less entrepreneurial skills
- Insufficient infrastructure facilities
- Less awareness of modern technology and modern technology not being applied.

Some reasons for the importance of entrepreneurship for the success of small & medium scale business are as follows

- The beginning of a business is risky, and this can be minimized through the risk management abilities of the entrepreneurs.
- The business becomes successful mainly on the commitment and interest of the entrepreneur.
- The self-confidence and determination of the entrepreneur has a direct impact on the success of small and medium scale businesses.
- Similarly, businesses can be made successful by developing the entrepreneurial competencies of the entrepreneur.

- The incentives that are available to make small and medium scale businesses successful

- The incentives taken by the government to encourage small and medium scale businesses can be divided as follows:
    - Financial incentives
    - Non-financial incentives

Some examples for the financial incentives provided by the government to small and medium scale business are given below:

- Short-term, long-term loans
- Financial assistance
- Tax concessions
- Refinancing facilities.

Some examples of non-financial incentives provided by the government to small and medium scale businesses are as follows:

- Advisory services
- Entrepreneur development programs.
- Research and technological services.
- Provide infrastructure facilities.
- Provide market facilities.
- Offering awards and awards of excellence.

- Organizations that provide incentives to small and medium scale businesses can be divided into two categories.
  - Government institutions
  - Other institutions

Examples for some of the government institutions that provide incentives to small and medium scale businesses are as follows:

- Industrial development board
- Export development board
- Sri Lanka standards institution
- National development bank
- Industrial technology institution

Examples for other institutions that provide incentives to small and medium scale businesses are as follows:

- Sarvodaya
- JICA (Japanese International Co-operation Agency)
- Private organizations involved in preparing taxation
- Sanasa (Thrift and credit co-operative society)
- Private banks and financial institutions

- Some organizations that provide incentives to small and medium scale businesses and the incentives they provide are as follows

Organisations	Incentive provided
National Entrepreneur Development Authority	• Provide financial assistance • Conducting entrepreneur development training workshops.
Small and Medium scale entrepreneurship board	• Provide foreign market facilities
Industrial Development Board	• Advisory services • Provide technical knowledge • Infrastructure facilities
Export Development Board	• Marketing facilities • Advisory services
Sri Lanka Standards Institution	• Advisory services
National Development Bank	• Provide financial facilities
Industrial Technological Institute	• Provide technical knowledge • Provide advisory services
Sri Lanka Small and Medium scale Industrial Board	• Financial facilities • Offering excellence awards.

<u>**Several projects that provide incentives for the success of small and medium scale business currently are given below:**</u>

- Interest free loan schemes without securities for women - micro entrepreneurs (Liya Isura)
    - Introducing micro entrepreneur loan schemes without securities for women making available working capital requirements through the Regional Development Bank (CBSL report 2014)

- Suwana
    - With the financial backing of the Japan Bank for International Co-operation (JBIC), the National Development Bank provides re-financing for the development of small industry entrepreneurs.
    - This is known as SMILE (Small and Micro Industries Leader and Entrepreneur promotion projects). At present the 3rd stage of this project is in operation.

- Shanya
  - This is a loan scheme that is being implemented with the financial patronage of the Asian Development Bank. The DFCC and other commercial banks participate in this scheme.

- Sanasa Loan Project
  - This is a loan scheme that provides loan facilities to agrarians, livestock, small industry, trading and commercial activities.
  - The National Development Trust Fund and membership deposits are utilized for this purpose while the administration is exercised by the Sanasa Apex Development Society.

- Co-operative Rural Bank Loans
  - Loans are furnished for Agrarian, fisheries, Livestock management, trading and commercial activities. The National Development Trust Fund and membership deposits are utilized here.
  - Administration support is extended by the multi-purpose Co-operative Society and Co-operative Development Department.

- Samurdhi / Divineguma Development Loan Scheme
  - This scheme was initiated to provide loans and other services to the Samurdhi and Divineguma beneficiaries.
  - The fund requirement for this scheme is made available from government grants and savings deposits of the membership.
  - Control of this scheme is exercised through the divineguma Development department. (Government has announced that Samurdi/ Divineguma banks work jointly with Regional Development Banks)

- Agrarian Bank Pilot Project.
  - This is a project of the Agrarian Development Department under the purview of the Ministry of Agriculture Development and Agararian services.
  - Farmers are provided with short- and long-term loans for planting purposes. The Farmers Trust Fund was established in the Agriculture Department and membership deposits are utilized for this purpose.